

THREE-WAY ORGANIZATION

The highly autonomous Neptune, Pluto, and Venus divisions of the old Sirius Corporation are trying to form a new conglomerate. You have been assigned one of these three roles. Your aim as Neptune, Pluto, or Venus is to join a coalition (conglomerate) that commands a positive payoff and negotiate how the joint payoff should be split. (See Table 1 below.) Any division that does not join a two-party or three-party coalition gets a payoff of zero. Your aim is to try very hard to maximize your own payoff which represents how well the interests of your organization are served. (You will be "scored" on how well you do by comparing your payoff with the payoffs of others playing the same role in other parallel negotiations.)

TABLE 1

Payoffs to Different Groups

<u>Possible Conglomerates</u>	<u>Conglomerate Payoff (\$Millions)</u>	
Neptune, Pluto	20	N = 10, P = 10, V = 4
Neptune, Venus	18	N = 9, P = 6, V = 9
Pluto, Venus	12	N = 12, P = 6, V = 6
Neptune, Pluto, Venus	24	

EV(N) = 10.33
 EV(P) = 7.33
 EV(V) = 6.33

The idea of the game is to jockey around and eventually join a conglomerate that will offer you the best return. Of course, what you might demand from one grouping depends on what you can add to that conglomerate and what you potentially can get elsewhere. For example, if a coalition of Neptune and Venus were to form, they could command a joint return of \$18 million. They might jointly agree to give \$12 million to Neptune and \$6 million to Venus. Of course, Venus might want more from the Neptune-Venus conglomerate and might threaten Neptune by courting Pluto. After all, if Pluto does not join a conglomerate at all (that is, remains alone), then Pluto gets nothing. So Pluto will be desperately trying to join Neptune and Venus in a grand conglomerate (of Neptune, Pluto, and Venus, commanding \$24 million) or else to break up the Neptune-Venus group and join one of them.

The rules of the game, which you are honor-bound to obey, specify that you should have no prior communication with the other three players (except for arranging for a meeting place) before the negotiations start. There will be one round of play. Allow up to ~~30~~ 20 minutes for the negotiations, but you are free to complete negotiations sooner. You should place yourself in symmetrical positions at the beginning. If any two or three players want to arrange for a private meeting, the others must not interrupt for at least a two-minute period.

Before the game starts you should examine Table 1 and think out the beginnings of a strategy for yourself.

If N, wait for PV to approach me (max value 12), second strategy is to find P for 10

If P, first priority to find N (value 10).
Next,

Prepared and revised by Professor James K. Sebenius, Harvard Business School, Harvard University, drawing heavily on a case prepared by Howard Raiffa (ICCH 4-178-093).

If V, first priority to find N (value 9)